Note 11 - Income Taxes:

The reconciliation of the statutory U.S. Federal income tax rate to the Company's effective income tax rate is as follows:

	Years Ended October 31,		
	2007	2006	2005
Statutory federal income tax rate (benefit)	(34.00)%	(34.00)%	(34.00)%
State income tax benefit, net of federal income tax effect	(5.00)	(5.00)	(5.00)
Non-deductible expenses:			
Permanent differences	3.93	14.97	-
Increase in valuation allowance	35.07	24.03	39.00
Effective tax rate	0.00%	0.00%	0.00%

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets for financial reporting purposes and the amount used for income tax purposes. The Company's deferred tax assets are as follows:

	Years Ended October 31,	
	2007	2006
Deferred tax asset:		
Stock based compensation	$ 415,577	$ 300,467
Accrued liabilities	162,630	115,830
Research credit	44,916	44,916
Net operating loss carryforward	10,668,658	9,479,585
	11,291,781	9,940,798
Less: valuation allowance	(10,940,417)	(9,576,364)
Total deferred tax asset	351,364	364,434
Deferred tax liability:		
Excess tax over book depreciation	(351,364)	(364,434)
Net deferred tax asset	$ --	$ --
Increase in valuation allowance	$ 1,364,053	$ 1,590,850

Due to the uncertainty surrounding the realization of the benefits of the net operating loss carryforwards, the Company provided a valuation allowance for the entire amount of the deferred tax asset at October 31, 2007, 2006 and 2005. At October 31, 2007, the Company had federal net operating loss carryforwards of approximately $28,900,000 which expire at various dates through 2027, state net operating loss carryforwards of approximately $16,600,000 which expire at various dates through 2012, and research and development credits of approximately $45,000 which expire on various dates through 2024